

market levels. Let us, first, reproduce the summary of the 1948, 1953, and 1959 analyses that we gave in the 1965 edition:

In 1948 we applied conservative standards to the Dow Jones level of 180, and found no difficulty in reaching the conclusion that “it was not too high in relation to underlying values.” When we approached this problem in 1953 the average market level for that year had reached 275, a gain of over 50% in five years. We asked ourselves the same question—namely, “whether in our opinion the level of 275 for the Dow Jones Industrials was or was not too high for sound investment.” In the light of the subsequent spectacular advance, it may seem strange to have to report that it was by no means easy for us to reach a definitive conclusion as to the attractiveness of the 1953 level. We did say, positively enough, that “from the standpoint of value indications—our chief investment guide—the conclusion about 1953 stock prices must be favorable.” But we were concerned about the fact that in 1953, the averages had advanced for a longer period than in most bull markets of the past, and that its absolute level was historically high. Setting these factors against our favorable value judgment, we advised a cautious or compromise policy. As it turned out, this was not a particularly brilliant counsel. A good prophet would have foreseen that the market level was due to advance an additional 100% in the next five years. Perhaps we should add in self-defense that few if any of those whose business was stock-market forecasting—as ours was not—had any better inkling than we did of what lay ahead.

At the beginning of 1959 we found the DJIA at an all-time high of 584. Our lengthy analysis made from all points of view may be summarized in the following (from page 59 of the 1959 edition): “In sum, we feel compelled to express the conclusion that the present level of stock prices is a dangerous one. It may well be perilous because prices are already far too high. But even if this is not the case the market’s momentum is such as inevitably to carry it to unjustifiable heights. Frankly, we cannot imagine a market of the future in which there will never be any serious losses, and in which, every tyro will be guaranteed a large profit on his stock purchases.”

The caution we expressed in 1959 was somewhat better justified by the sequel than was our corresponding attitude in 1954. Yet it was